Brazil Macro Monthly

Global risks and fiscal target limit interest rate cuts in Brazil

- Financial conditions tightened further due to the upward shift in the yield curve. Treasuries remain volatile and continue to affect global asset prices.
- In Brazil, clear signs of activity slowdown, in line with our expectations. We forecast that GDP will rise by 2.8% in 2023 and 1.5% in 2024. We keep our estimate for 2025 GDP at 1.8%, around potential growth.
- We estimate a higher fiscal deficit for the coming years due to weaker results in the short term. The likely change to the target could weaken the fiscal framework and worsen the public debt outlook.
- The BRL appreciated recently, reflecting the relief in US rates. We adjusted our FX projection to BRL/USD 4.90 for 2023YE, while maintaining our structural view. We forecast 4.85 for 2024YE and 5.00 for 2025YE.
- The disinflation process remains benign, with service and core prices well-behaved. Therefore, we maintained our projections for the IPCA at 4.5%, 3.9% and 4.0% for 2023, 2024 and 2025, respectively.
- The BCB should keep the 50-bps cut pace in the next meetings. We continue to forecast the terminal Selic rate of 10.00% in 2024.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.8	1.5	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.4	8.2
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.5	3.9	4.0
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	11.75	10.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.90	4.85	5.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.2	-0.9	-0.9
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.8	-0.8
Gross debt (% GDP)	74.3	86.9	78.3	72.9	75.6	78.1	80.4
Trade Balance (USD Bn)	35.2	50.4	61.4	61.5	92.2	80.0	83.0
Exports (USD Bn)	221.1	209.2	280.8	334.1	338.7	346.8	363.5
Imports (USD Bn)	185.9	158.8	219.4	272.6	246.5	266.8	280.5
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-35.0	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.6	-1.7	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	62.0	70.0	80.0
FDI (% GDP)	3.7	2.6	2.8	4.8	2.9	3.0	3.3
Nominal GDP (USD Tri)	1.9	1.5	1.6	1.9	2.1	2.3	2.4
Nominal GDP (BRL Tri)	7.4	7.6	8.9	9.9	10.6	11.2	11.9

Source: IBGE, BCB, Bloomberg, XP

Foreword – Can this really be the end?

President Lula said that Brazil does not need to achieve the zero fiscal target proposed by the government if a cut in expenditures is required. Many saw that as a signal that the fiscal framework is over.

We would not go that far. Some of the revenue measures are progressing in Congress, and, on the expenditure side, there is still a growth limit (2,5% increase in real terms) that prevents a looser target from allowing for even higher expenses.

In any event, the change in the target suggests that, under a binding constraint, the revealed preference is to give flexibility to the framework rather than to adjust the fiscal policy stance (this was not the first time that happened). It reinforces our long-held view that fiscal policy has an expansionary bias that will require monetary policy to stay in the restrictive territory for longer for IPCA inflation to stabilize within the target range.

Indeed, fiscal instability and higher long-term bond yields in developed markets should limit the room for lower rates in Brazil next year.

Having said that, we do not see reasons for the central bank to reduce the pace of monetary easing in the short term. The Selic rate is still quite high, and current inflation and activity data are on a downward trend.

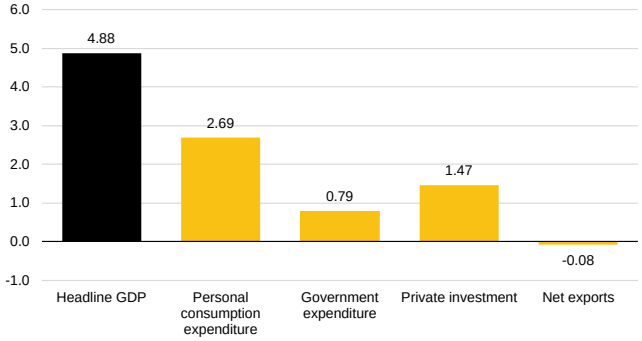
Last but not least, we still see solid fundamentals supporting the Brazilian real. Beyond short-term volatility, we forecast the exchange rate below 5,0 reais to the US dollar over time.

Global backdrop – Can't take eyes off the Treasuries

Francisco Nobre

The US economy continued strong, although a slowdown is expected. GDP expanded by 4.9% SAAR, above expectations, marking an acceleration from the previous quarters and the highest growth rate since 4Q21. The main contribution came from personal consumption, although growth was widespread, confirming the strong performance of the US economy (graph). Still, we remain skeptical about the growth outlook amid tight monetary policy for longer, and we think the US economy will have to face a period of weakness so that inflation sustainably converges to target.

Solid US GDP growth in Q3 with strong contribution from private consumption
Real GDP growth contribution (QoQ SAAR, %)

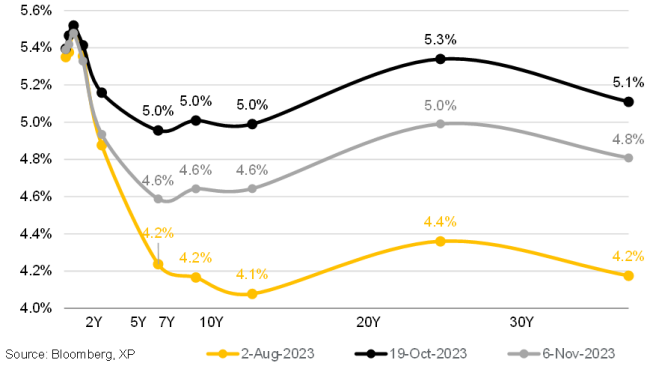


Source: BEA, XP

The US Fed will proceed carefully following its November meeting. The FOMC maintained the target range for the federal funds rate at 5.25%-5.5% and justified the decision by highlighting that the continued increase in long-term Treasury yields represents an additional tightening in credit conditions and acts as a substitute for additional rate hikes.

We still consider a final hike in our scenario, though recent data and still high Treasury yields may convince the FOMC that monetary policy is tight enough. The latest Payroll report suggested that the labor market is finally cooling, while recent consumer price inflation readings were more benign. Meanwhile, despite the recent correction, long-term Treasury yields remain close to their 15-year highs.

US Treasuries yields rebounded partially but remains high
US Treasury yield per tenor

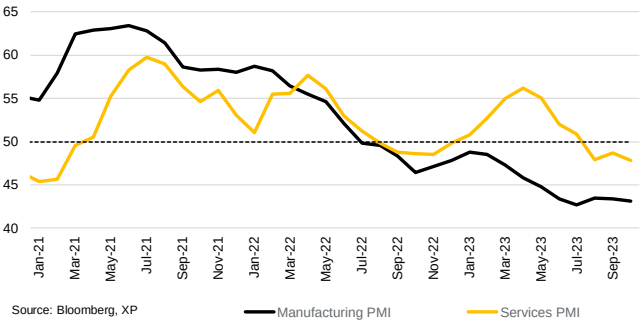


Source: Bloomberg, XP

Short-term volatility does not change the view of higher rates for longer. In any case, the Fed is very close to the end of the tightening cycle, and keeping rates restrictive for longer will be more important than additional hikes, in our view. We reiterate our call that we think that the FOMC will have to wait until 3Q24 to start easing monetary policy, ending the year with the upper bound of the fed funds rate at 4.75%. In 2025, we expect rates to drop to 3.5%, which we think will be a new neutral level.

In Europe, central banks are more confident about the end of the tightening cycle. The ECB and the BoE left rates unchanged in their last meeting as the balance of risks between lingering high inflation and weakening economic activity has become more even amid tight monetary policy. The risk of a recession is mounting, and price pressures are gradually easing. Monetary authorities left doors open for more tightening if needed, given that inflation remains well above target, but we believe the bar is high for another rate hike. We expect rates to remain unchanged until the fourth or fifth meeting of 2024, followed by a gradual easing cycle.

Activity indicators in contractionary territory in the Eurozone
Purchasing Managers Index (above 50, expansion; below 50, contraction)



Source: Bloomberg, XP

Additional stimulus in China does not change weaker growth dynamics. Despite Q3 GDP having surprised to the upside, overall growth has disappointed this year. The government announced 1 trillion yuan (around USD 140 billion) in additional stimulus to boost activity. Most of the resources will be used for water conservancy and flood prevention projects amid adverse weather conditions this year. We do not expect these stimuli to significantly alter China´s growth dynamics and our fundamental view remains: as China gets richer, its growth is expected to keep slowing. Growth drivers will likely shift from the property and external sectors to consumption and technology, and GDP will likely expand (considerably) below 5% per year.

Commodity prices remain sensitive to geopolitical risks. Brent oil prices hovered around USD 85-90 in the past month, at levels that we do not consider a threat to the global disinflation process. Still, commodity prices have been very volatile amid growing geopolitical uncertainties. We do not expect prices to reaccelerate, although the risk of the war in the Middle East dissipating poses upside risks. In any case, commodity prices remain at high historical levels, which has benefited exporters.

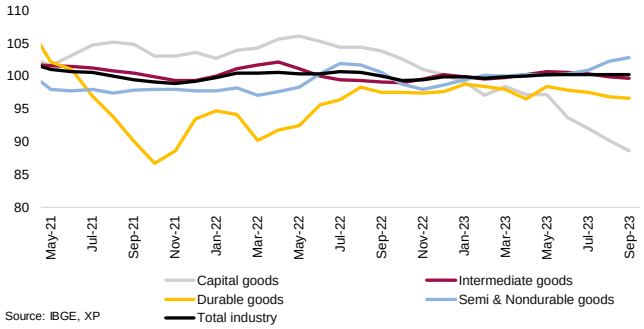
BRAZIL – Global risks and fiscal target limit interest rate cuts in Brazil

Economic Activity – Clearer signs of slowdown

Rodolfo Margato

The Brazilian economy has been losing strength this semester. The latest activity data have confirmed the slowdown in most sectors. The industrial sector remains stagnant, with a significant decline in the production of capital goods and consumer durable goods. Retail sales have fallen in recent months, especially in activities more sensitive to high interest rates and household indebtedness. The services sector has weakened at the margin, although it continues to perform above average. In a nutshell, domestic demand loses steam after solid growth in the first half of the year.

Manufacturing output has been stagnated since 2021
Industrial production, sas, 3MMA. Dec/22 = 100

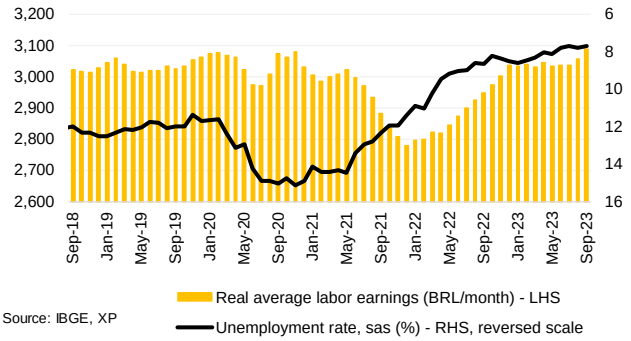


Source: IBGE, XP

GDP declines in the short term. The next quarterly GDP releases are expected to show weak figures, especially due to the dissipation of the positive shock in agriculture – which was crucial for the strong economic growth seen in the last semester – and the aforementioned cooling of internal demand. Our estimates for GDP growth point to variations of -0.3% QoQ in 3Q and -0.1% QoQ in 4Q. Hence, we keep the projection of 2.8% for the full-year 2023, implying a null statistical carry-over effect for 2024.

Moderate recovery in activity next year. We also reinforce our expectation that GDP will rise by 1.5% in 2024. In our view, the deceleration in annual economic growth will reflect: (i) the lower relative contribution from the agriculture and the mining industries - sectors less sensitive to the cycle that strongly grew this year; (ii) the lower fiscal impulse, although the expansionary bias persists; and (iii) the low dynamism of the global economy amid restrictive monetary policies in several countries. Furthermore, the labor market outlook remains positive, but there are signs of moderation. We believe that the unemployment rate will stabilize at around 8%, while the real household disposable income will grow approximately 2.5% in 2024 compared to 5.5% in 2023. On the other hand, the main credit market indicators should improve in the coming year, albeit slowly.

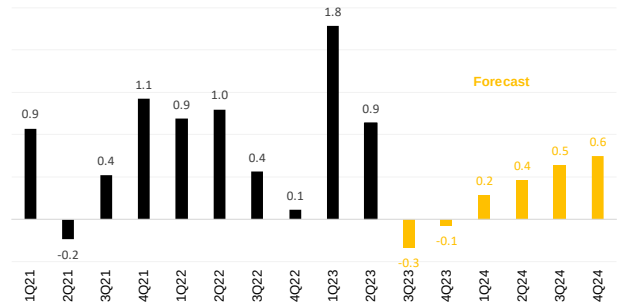
Labor market remains solid, despite signs of moderation in the recent period



Source: IBGE, XP

We forecast a 1.8% GDP expansion in 2025, close to potential economic growth. The gradual easing of domestic monetary policy combined with the expected recovery of the global economy will likely lead GDP to grow slightly more in 2025 versus the previous year. As written in our last monthly report, we consider it premature to reassess, at this moment, the pace of structural economic growth in Brazil, despite acknowledging gains resulting from reforms and institutional advances.

GDP is expected to fall this semester and gradually recover throughout 2024
QoQsa (%)



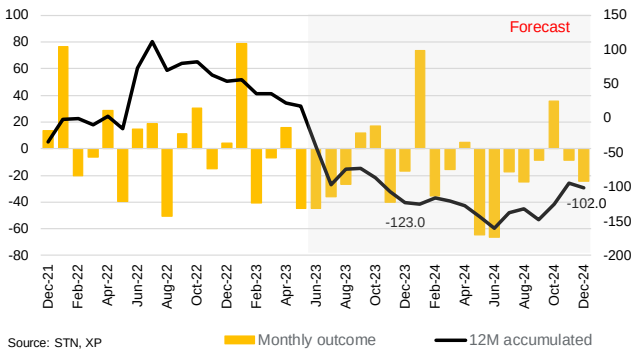
Source: IBGE, XP

Public finance – Likely change in primary balance target weakens the fiscal framework

Tiago Sbardelotto

2023 should see a larger deficit than previously expected. In September, the central government showed a surplus of BRL 11.5 billion, reversing a four-month streak of deficits. However, the result was due to higher income from the PIS/Pasep fund, amounting to about BRL 26 billion. Excluding the atypical factor, we continue to see a deterioration in public accounts, with falls in tax collection in real terms and a significant rise in compulsory expenses such as social security and assistance.

We expect larger deficits in 2023 and 2024
Central government primary budget balance in BRL billion



Source: STN, XP

We have revised the central government deficit from BRL 110.5 billion (1.0% of GDP) to BRL 123.0 (1.2% of GDP) in 2023. The change in the short term mainly reflects: i) the inclusion of the effects of the complementary law that established the Union's compensation to the states for the loss of ICMS revenue in 2022 due to the reduction in fuel and electricity rates, whose effects in 2024 were brought forward to this year; ii) the incorporation of the September results; iii) a review of economic parameters, especially oil prices.

Larger deficit in 2024... We now forecast a deficit of BRL 102.0 billion (0.9% of GDP) compared to BRL 96.7 billion (0.9% of GDP). The marginal changes reflect the results of 2023 and the downward revision to the expected revenue this year.

And in 2025. We estimate that, based on the rule defined in the new fiscal framework, the spending limit will grow by 2.5% in 2025. We have not included any new revenue measures, except for those already approved or under discussion. As a result, the deficit should reach BRL 105.2 billion (0.9% of GDP) from BRL 101.3 billion (0.8% of GDP) in our last report.

2024 target under discussion. In our last monthly report, we pointed out that, given the difficulties in raising revenues and the obligation to make a spending freezing of up to BRL 53 billion next year, a change in the primary balance target for 2024 was very likely. Our prognosis proved to be correct, with press reports indicating that the new target should be of 0.5% of GDP deficit.

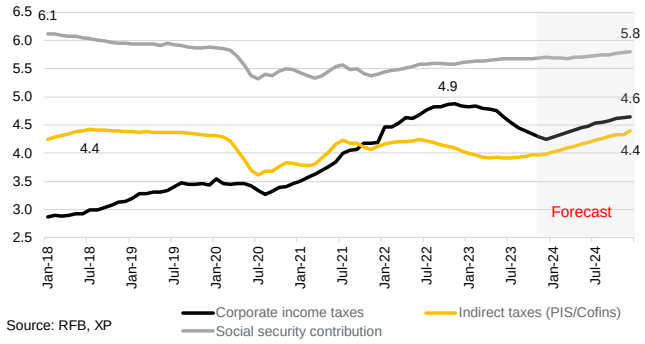
Changing the target will not prevent a spending freezing. If the primary result target is set at 0.5% of GDP, the compliance band of the new fiscal framework will allow the government to achieve a deficit of up to 0.75% of GDP. Even so, it will be necessary to set aside BRL 32 billion (0.28% of GDP), considering the budgetary view. If we include the possibility of expenses executed falling short from budgeted ("empoçamento"), this freezing would be BRL 15 billion lower.

The consolidated public sector (including states, municipalities, and state-owned companies) should have a deficit driven by the central government. States and municipalities are expected to have weaker results in the coming years due to lower ICMS collections and a drop in federal transfers. As a result, we project that the public sector will reach deficits of BRL 96.3 billion (0.9% of GDP) in 2023, BRL 86.5 billion in 2024 (0.8% of GDP) and BRL 92.3 billion (0.8% of GDP) in 2025.

Public debt does not stabilize in our scenario. We estimate that the general government's gross debt will reach 75.6%, 78.1% and 80.4% in 2023, 2024 and 2025, respectively (previously 75.2%, 77.9% and 80.2%). The rise in debt in 2023 mainly reflects interest rates and the higher deficit. The fall in the policy interest rate next year should reduce the weight of this account, but in the absence of a positive primary result - we estimate that a surplus of 1.8% would be needed in 2024 to reach a stabilization - the debt should continue to grow.

Change in primary balance target will affect medium-term trend. Although we do not expect the target to be met in

Government measures to boost revenues are not enough to balance the budget
Tax collection as % of GDP



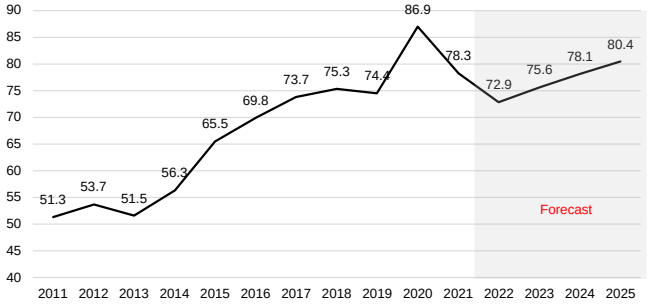
Source: RFB, XP

Change in primary balance target will not prevent spending freezing in 2024

Target (% of GDP)	Target (BRL billion)	Spending freezing (BRL billion)	Freezing w/ expenses execution below budgeted (BRL billion)
-1.00	-113.1	-3.9	0.0
-0.75	-84.8	-32.1	-17.1
-0.50	-56.6	-60.4	-45.4
-0.25	-28.3	-88.7	-73.7
0.00	0.0	-117.0	-102.0

Source: XP. The maximum spending freezing estabilished by the fiscal framework is BRL 53 billion

Public debt forecast worsens slightly
General Government gross debt (% of GDP)



Source: BCB, XP

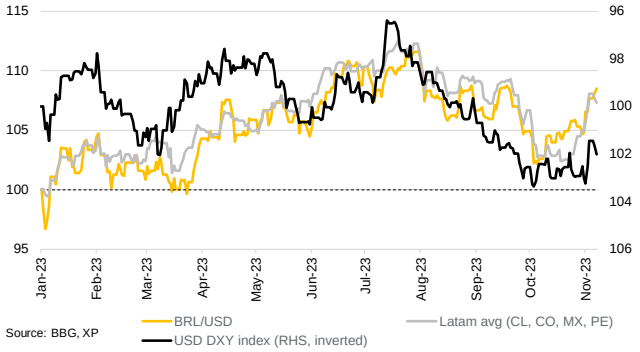
2024, maintaining it would be important in order to: i) keep the incentives for the government to approve an agenda to increase revenue in Congress; ii) reduce spending in 2024 (by means of mandatory freezing) and, most important, in 2026, by applying the adjustment to the spending limit of only 50% of the variation in revenue. Therefore, in addition to the effects of weakening the framework in its first year, the change implies a higher public debt trajectory in the long term.

External Accounts – Record trade surplus and exchange rate relief

Rodolfo Margato

Exchange rate volatility remains high. The Brazilian exchange rate returned to levels close to BRL/USD 4.90 at the beginning of November, after reaching BRL/USD 5.15 a month earlier. The strengthening of the Real – and other emerging currencies – in recent days was mainly due to the relief in US Treasury yields following signs of a slowdown in the local labor market. That said, the global economic environment remains quite uncertain. After all, the scenario of high interest rates for longer in developed economies has not gone off the radar, and geopolitical tensions persist. On the domestic side, fiscal risks have taken center stage, especially with the likely change in primary result targets. After incorporating recent movements, we adjusted our exchange rate projections for YE 2023, to BRL/USD 4.90 from BRL/USD 5.10.

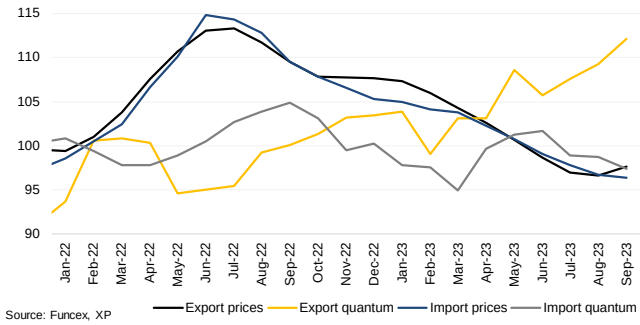
Emerging currencies remain sensitive to the external scenario
Exchange rate index, Jan 2023=100 (upward move = appreciation)



Source: BBG, XP

Nonetheless, we have not changed our structural assessment on the exchange rate. For longer projection horizons, we continue to see room for BRL appreciation. As we have pointed out, the so-called economic fundamentals suggest that the structural exchange rate in Brazil ("fair value") would be between BRL/USD 4.50 and BRL/USD 5.00. In our view, the greater resilience of the exchange rate last month compared to other financial assets (such as fixed income and equities) reflects, to a large extent, the good performance of some of those fundamentals. The robustness of the balance of payments, especially through massive trade flows, plays a leading role. Hence, we continue to project BRL/USD 4.85 for YE 2024 and BRL/USD 5.00 for YE 2025.

Record trade surplus amid sharp rise in exports and global cost deflation
Price and quantum indexes, 3MMA, sas. Jan-22 = 100.



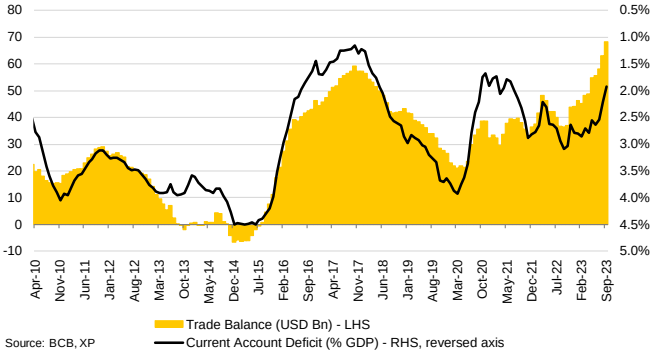
Source: Funcex, XP

Trade surplus at all-time highs and narrowing current account deficit. The trade balance is expected to record a surplus of more than USD 90.0 billion this year (4.3% of GDP), well above the amount of USD 61.5 billion seen last year (3.2% of GDP). This result stems from the significant contraction in imports, particularly of intermediate goods, combined with the increase in exports, with emphasis on

primary goods. The record trade balance is the main factor behind the reduction in the current account deficit throughout 2023: we anticipate -USD 35.0 billion at the end of this year (-1.6% of GDP) after -USD 55.7 billion at the end of last year (-2.9% of GDP). We expect the current account deficit to widen moderately in the coming years, reaching -USD 40.0 billion at the end of 2024 (-1.7% of GDP) and -USD 48.0 billion at the end of 2025 (-2.0% of GDP), that is, still considerably below the historical average of around -3.0% of GDP.

Net inflows in FDI cool down in the short term but should recover in the coming years. The latest releases of FDI – Foreign Direct Investment – showed weak results, in line with the economic slowdown and lower corporate profitability, both in Brazil and abroad. Thus, we estimate a net inflow of USD 62.0 billion in 2023 (2.9% of GDP) after the peak of USD 90.6 billion in 2022 (4.8% of GDP). However, we foresee a gradual recovery starting next year, leading to USD 70.0 billion at the end of 2024 (3.0% of GDP) and USD 80.0 billion at the end of 2025 (3.3% of GDP). In a nutshell, we maintain our constructive view on the Brazilian balance of payments.

Narrowing current account deficit driven by soaring trade balance



Source: BCB, XP

Inflation – Cores and services remain on a benign path

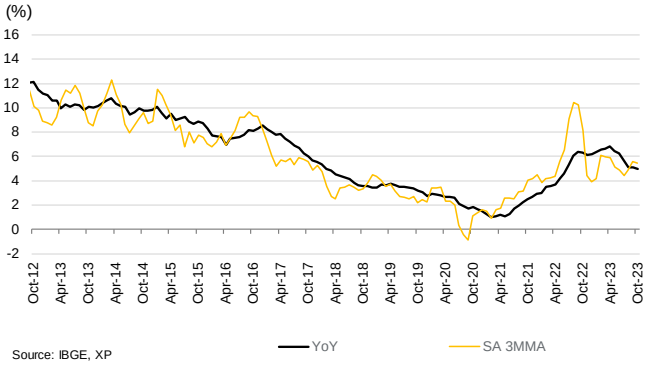
Alexandre Maluf

Short-term inflation remains benign... Despite September's IPCA coming in above expectations, the core metrics (which measure the underlying inflation trend) and the services group (normally more difficult to cool down) remained well-behaved. Considering the seasonally adjusted 3-month moving average of these segments, it is possible to state that inflation is already below the upper bound of inflation the target (1.75% - 4.75%).

Acceleration in wages is a source of concern... After months of stability, salaries measured by the PNAD (National Household Sample Survey) rose more significantly in September. If this trend proves persistent, it could impose an upside risk to services inflation. For now, the increase is concentrated in the industrial sector, and it is important to mention that there are signs of accommodation in other labor market indicators. In any case, as mentioned above, service metrics continue to show a well-behaved trend.

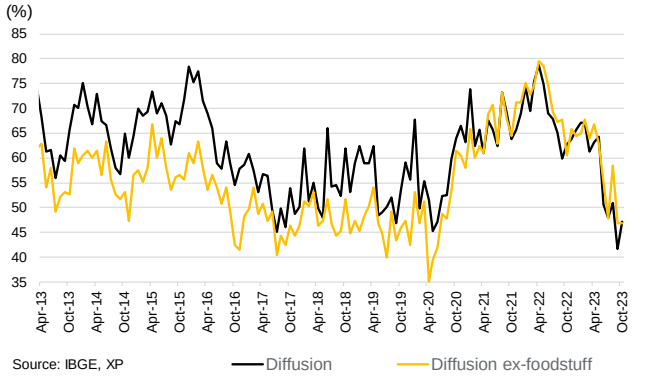
Industrialized goods and foodstuff keep contributing to the Brazilian disinflation process. We expect that the sequential monthly deflations in foodstuff have ended in Brazil, and prices should increase moderately in the

Labor-intensive services inflation have been cooling down since April



Source: IBGE, XP

Recent drop in the diffusion index reinforces the disinflation process in Brazil



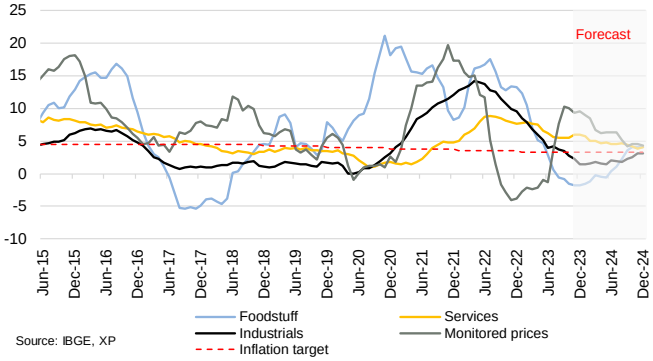
Source: IBGE, XP

coming months. The main reasons for that are i) the depreciation of the real, ii) the stability of grain prices and iii) seasonal factors. Regarding industrial goods, the maintenance of oil prices at a higher level, and the relatively more depreciated average exchange rate reverted the monthly deflations in industrial PPIs. However, we still see moderate variations for this group, given tight credit conditions, high levels of delinquencies and high inventories in some sectors.

We recently revised the 2023 IPCA to 4.5% from 4.8%. As we published few days ago, our revision took into consideration recent downward inflation surprises and the reduction in gasoline prices by Petrobras.

We maintained our forecast for IPCA Inflation at 3.9% and 4.0%, respectively. Considering next year's inflation, the lower inertia from 2023 will be offset by the readjustment of state-level taxes on gasoline, cooking gas and diesel (we calculated impact of +0.15pp). However, we reduced our projection for electricity, given the downward revision in 2023 IPCA and IGP-M – energy companies readjust their tariffs with these indicators. Regarding market-set prices, we only promoted specific adjustments with no major highlights. Finally, for 2025 inflation, we maintained our projection at 4.0%, above the inflation target of 3.0%. We do not see a scenario in which medium-term inflation expectations converge towards the center of the target, given the fiscal challenges that we will face in the coming quarters.

Our forecast suggests IPCA components above the 2024 inflation target
IPCA 12M (%)



Source: IBGE, XP

Monetary Policy – Next steps vs. finish line

Caio Megale

Economic activity and inflation are softening, and the risk is that they continue to surprise to the downside. The so-long forecasted deceleration of domestic demand is finally showing up in recent data, reinforcing our call of zero or negative GDP growth in the coming quarters. At the same time, recent IPCA readings show that the second stage of disinflation – related to services and core measures – is progressing.

This dynamic occurs with **real interest rates still well above its neutral level** (we consider 5.0% to be the long-term equilibrium rate).

Against this backdrop, we see no reason for the Copom to consider reducing the easing pace in its next two or three meetings. As a matter of fact, we see a 75-pbs cut more likely than a 25-bps, though none of them look likely.

The terminal rate, though, depends on longer-term issues, such as fiscal sustainability and global "risk-free" interest rates. Recent developments reinforce our view that fiscal sustainability is still quite uncertain. It reinforced our long-held call of an above-consensus terminal Selic rate. On top of that, US long-term Treasury Yields are still much above the average of the last 15 years, which represents an additional limitation for monetary easing in Brazil.

We keep our call that the Copom will end the current monetary easing cycle with the Selic at 10.00%, still on restrictive territory, to offset expansionary fiscal policy and ensure that inflation will converge to the target range.

Neutral stance in 2025. Assuming that inflation will stabilize at around 4.0%, monetary policy could be neutral in 2025. We estimate the Brazilian neutral real interest rate at 5.0%. **Consequently, the Selic rate could be adjusted to 9.00% in the first half of 2025.**

XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.8	1.5	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.4	8.2
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.5	3.9	4.0
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	11.75	10.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.90	4.85	5.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.2	-0.9	-0.9
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.8	-0.8
Gross debt (% GDP)	74.3	86.9	78.3	72.9	75.6	78.1	80.4
Trade Balance (USD Bn)	35.2	50.4	61.4	61.5	92.2	80.0	83.0
Exports (USD Bn)	221.1	209.2	280.8	334.1	338.7	346.8	363.5
Imports (USD Bn)	185.9	158.8	219.4	272.6	246.5	266.8	280.5
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-35.0	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.6	-1.7	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	62.0	70.0	80.0
FDI (% GDP)	3.7	2.6	2.8	4.8	2.9	3.0	3.3
Nominal GDP (USD Tri)	1.9	1.5	1.6	1.9	2.1	2.3	2.4
Nominal GDP (BRL Tri)	7.4	7.6	8.9	9.9	10.6	11.2	11.9

Source: IBGE, BCB, Bloomberg, XP

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